

R-04 — Process narrative

Airline Group Ltd · FY 2025-26 (1 April 2025 – 31 March 2026) · Record to Report · FX revaluation reviewed at month-end

Control	FX revaluation reviewed at month-end (R-04)
Sub-process	Consolidation
Nature / frequency	Manual · Monthly
Control owner	D. Rao, Financial Controller
Provided by	Group Finance
Version	v3.1 · effective 1 April 2025

Purpose

This narrative describes how fx revaluation reviewed at month-end operates at Airline Group Ltd, and the risk it is maintained against: foreign-currency balances revalued incorrectly.

How the control operates

The run walked was FX-26-02 for February 2026, covering USD, EUR and GBP exposures and producing a net unrealised gain of INR 84.1 lakh.

The month-end review is the control the risk register names against R-54 — foreign-currency balances revalued incorrectly. We traced it to that risk and to the valuation assertion over monetary balances. The reviewer re-performs the calculation on a sample of balances against the published closing rate rather than accepting the system output, which is what makes the control address the risk of a wrong rate or a missed exposure rather than simply confirming that a run happened.

The review is performed to a stated threshold. Any line where the recalculated revaluation differs from the system output by more than INR 0.5 lakh is investigated before the journal is released, and the aggregate movement is compared against an expectation built from the opening exposure and the rate movement, with a tolerance of 5 per cent. The February run fell within that limit at 2.1 per cent of expectation.

Roles

The reviewer is independent of the person who runs the revaluation. The run is executed by the treasury accountant and reviewed by the Financial Controller, who does not hold the revaluation transaction in SAP — the two roles are segregated in the authorisation profile, so the review cannot be bypassed by the preparer releasing the journal directly.

Records kept

The operation of the control is evidenced and retained. The rate upload file, the system revaluation report, the reviewer's recalculation worksheet and the posted journal are filed together in the close pack, and SAP retains the audit trail of the rate table upload showing who loaded the rates and when. We inspected the February pack and all four were present, with the reviewer sign-off dated 5 March.

Owner: D. Rao (Financial Controller) · Reviewed annually · Next review 1 April 2026